

Local Finance and Local Growth Macro and Micro Evidence from China

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Summary

- Question
 - Effect of city commercial banks on economic growth using a panel dataset
- Methodology
 - Panel analysis
 - City and firm level
 - Instrumental variables

Findings

- CCB reduce city-level growth
- CCB reduced firm-level growth, especially for small firms
- Story: CCB are less efficient due to local government's power

Comments

➤ Story

➤ Empirical findings

Story

- Growth and existence of a CCB .. Seems to be too distant
- What is the mechanism?
 - Lending?
 - Data on lending ...
 - Interest rates?
- Local government's power explains lower efficiency of CCB
 - Not convincing enough
 - Decentralization, better monitoring through local banks?

Empirical findings – Instrumental Variable

- Identification assumption
 - diffusion of CCBs in neighboring cities cannot have a direct effect on growth
 - plausible?
 - CCBs in neighboring cities could be correlated with the non CCB banks; and that could have a direct effect on lending ?
- No IV in the firm level regressions?

Empirical findings – Selected Sample

- What is the first stage?
- What determines whether a given city is selected to have a CCB?
- Sample selection and endogeneity to be dealt with separately

Empirical findings – panel data model

- Lagged dependent variable and fixed effects
 - Biased estimates
 - GMM?
- Control for city characteristics in firm level regressions
 - City fixed effects in firm-level regressions

Overall

- Interesting paper
- More work to convince a skeptical referee